STRATEGIC ADVICE: Day 3

Keywords:
Multiple Issues / Value Creation / Integrative Negotiation / Team Negotiation

PREFERENCE DIFFERENCES PROVIDE OPPORTUNITIES FOR INTEGRATIVE BARGAINING.

- Search for differences in relative expectations or beliefs of the future, valuation, capabilities, risk preferences, time preference, tax consequences, discount factors, etc.
- Take a conditionally cooperative approach (i.e., Tit for Tat). Remember that tactics for creating value, such as revealing information and clearly communicating interests, can leave you vulnerable to claiming behavior.
- Watch your answers. You can hurt yourself with your own exaggerations.
- Provide information, but do so selectively. Don't give away information unilaterally. You should not be afraid of providing information, you should be afraid of doing so when the other side doesn't.
- Ask lots of questions about interests and priorities; listen carefully to answers. But don't rely exclusively on questions and answers or announcements.
- Avoid sequential bargaining and single-issue offers. Don't isolate issues; splitting differences destroys value.
- Think creatively about putting new issues on the table; add side issues that benefit both parties.
- Offer multiple whole packages that are of equal value to you and offer them simultaneously; use MWPs to probe your assumptions about the other side and rely on "revealed preference" to find trades.
- Contingent Contracts
  - Use contingent contracts to reconcile differences in opinion and to keep the other side honest.
  - Consider using contingent contracts to build incentives for contract compliance.
  - Contingency provisions require continuing interaction as the exact outcome remains undetermined until after the agreement is settled.
  - Don't bet if you can't collect. Contingent contracts need to be enforceable. Use escrow, insurance, or legal contracts
  - Future events must be observable and measurable. Neither side should be able to manipulate the outcome
- Use the current agreement as a new BATNA; try for a post-settlement settlement.

REMEMBER: Typically you claim well if you create well.

TEAM NEGOTIATION

PROS:

- Greater range of expertise and perspectives
- More ideas for solutions and knowledge brought to the table
- Members may perform separate roles and handle complexity better
- Greater acceptance of negotiated agreements
- More perceived power

CONS

- Intragroup coordination necessary
- Intergroup biases and "the management of agreement"
- Groups are more competitive than individuals
- Groups trust each other less than individuals

TEAM-ON-TEAM NEGOTIATION CAN BE AN ADVANTAGE OVER SOLO NEGOTIATION, IF THE TEAM PREPARES PROPERLY*

Step 1: Prepare as Individuals. Identify issues, prioritize interests, BATNA, identify your best-case scenario and worst-case scenario and be prepared to discuss this information with your team.

Step 2: Develop Procedures. As a team, decide on the procedures for running the preparation meeting. What roles will team members play during this preparation meeting? What materials/information is necessary? What is your time line and who will enforce it?

Step 3: Clarify facts and information. As a team, develop a "positions and interests" chart. Prioritize your issues and think about the other party's priorities, know your BATNA and consider what you know about their BATNA. Discuss best and worst case scenarios. As you complete the preceding tasks, make a list of questions to research. Identify both information that you are willing to share with the other team and information that is too sensitive to reveal at any point under any condition and get clarification within the team on these points. Practice by role playing together.

Step 4: Develop Strategy. As a team, plan your opening offer. (In general, it is not advisable to simply want the other party to open; you need to be able to put something on the table at some point.) Assign roles to reduce the coordination necessary during the actual negotiation. Choose a lead speaker, a lead strategist (listener and strategic watchdog), an accountant to run the numbers, and a scribe to keep track of offers. Decide on a signal to adjourn for a private caucus. Be sure to consider the effects of caucusing.

Adapted from Thompson (2005): "The Heart and the Mind of the Negotiator"